Eco401 MCQs (Lecture 1 - 18) -1 Solved by vuZs Team

ECO401 MCQs From Quiz No.2
MCQs Covering lectures from 1-18
Solved by vuZs Solution Team in conference chat
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http://groups.google.com/group/vuZs

Question # 1 of 15 (Start time: 03:19:00 PM) Total M - 1

If two goods were perfect complements, their indifference curves would be:
Select correct option:
Straight lines
L-shaped (Correct)
Rectangular hyperbolas
Parabolic
If two goods are perfect complements (http://en.wikipedia.org/wiki/Complement_good) then the indifference curves will be L-shaped. An example would be something like if you had a cookie recipe that called for 3 cups flour to 1 cup sugar. No matter how much extra flour you had, you still could not make more cookie dough without more sugar. Another example of perfect complements is a left shoe and a right shoe. The consumer is no better off having several right shoes if she has only one left shoe. Additional right shoes have zero marginal utility without more left shoes.

The marginal rate of substitution is equal to the:

Select correct option:

Magnitude of the slope of the indifference curve (Correct)
Relative price
Marginal cost of each good
Slope of the budget line

Question # 2 of 15 (Start time: 03:20:23 PM) Total M - 1

If the demand curve for a good is downward sloping, then the good:
Select correct option:
Must be normal.
Must be inferior. (Correct)
Must be Giffen.
Can be normal or inferior.

The concept of a risk premium applies to a person that is:
Select correct option:

Risk averse (Correct)
Risk neutral
Risk loving
All of the given options

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Question # 3 of 15 (Start time: 03:21:51 PM) Total M - 1

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase. (Correct)
The demand for Y will increase while the demand for Z will decrease.
The demand for Y will decrease while the demand for Z will increase.
The demand for both Y and Z will decrease.

Question # 3 of 15 (Start time: 03:21:51 PM) Total M - 1

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase.
The demand for Y will increase while the demand for Z will decrease. (Correct)
The demand for Y will decrease while the demand for Z will increase.
The demand for both Y and Z will decrease.

Question # 4 of 15 (Start time: 03:23:12 PM) Total M - 1

Which of the following statements describes the presence of diminishing returns.
Select correct option:
The marginal product of a factor is positive and rising.
The marginal product of a factor is positive but falling. (Correct)
The marginal product of a factor is falling and negative.
The marginal product of a factor is constant.

Question # 5 of 15 (Start time: 03:24:17 PM) Total M - 1
Which of the following defines the opportunity cost?
Select correct option:
It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone. (Correct)

Question # 6 of 15 (Start time: 03:24:47 PM) Total M - 1

The substitution effect of a price decrease for a good with a normal indifference curve pattern:
Select correct option:
Is always inversely related to the price change.
Measures the change in consumption of the good that is due to the consumer’s feeling of being richer.
Is measured by the horizontal distance between the original and the new indifference curves.

Is sufficient information to plot an ordinary demand curve for the commodity being considered. (Correct)

Question # 7 of 15 (Start time: 03:26:14 PM) Total M - 1

The demand curve faced by an individual firm in a competitive market is:
Select correct option:
Upward sloping.
Downward sloping.
Horizontal. (Correct)
Vertical.

Question # 8 of 15 (Start time: 03:26:49 PM) Total M - 1
Price floor results in:
Select correct option:
Equilibrium.
Excess demand.
Excess supply. (Correct)
All of the given options.

Question # 9 of 15 (Start time: 03:27:43 PM) Total M - 1
In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:
Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale. (Correct)
Negative returns to scale.

Question # 10 of 15 (Start time: 03:29:03 PM) Total M - 1

When government sets the price of a good and that price is below the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good. (Correct)
An increase in the demand for the good.
A decrease in the supply of the good.

Question # 11 of 15 (Start time: 03:29:32 PM) Total M - 1

A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse. (Correct)
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Question # 11 of 15 (Start time: 03:29:32 PM) Total M - 1
A person with a diminishing marginal utility of income:
Select correct option:

Will be risk averse. (Correct)
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Question # 12 of 15 (Start time: 03:30:04 PM) Total M - 1
Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:
It shows an undesirable combination of goods and services. (Correct)
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

Question # 13 of 15 (Start time: 03:31:30 PM) Total M - 1

According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option:
Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases. (Correct)

Question # 14 of 15 (Start time: 03:31:52 PM) Total M - 1
More output could be produced with available resources if:
Select correct option:
Resources are allocated efficiently. (Correct)
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.

Question # 15 of 15 (Start time: 03:32:44 PM) Total M - 1

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements. (Correct)